Meeting Name:	Council Assembly
Date:	25 February 2026
Report title:	Policy and Resources Strategy Report: 2026-27 Budget and Medium Term Financial Strategy
Cabinet Member:	Councillor Stephanie Cryan, Equalities, Democracy and Finance
Ward(s) or groups affected:	All
Classification:	Open
Reason for lateness (if applicable):	Not applicable

RECOMMENDATION

That Council Assembly approves:

1. The allocation of the £2.6m additional funding from the Final Local Government Finance Settlement, as outlined in paragraphs 8 -14 and Table 1, to increase the budget for Temporary Accommodation.

2. The final balanced budget as detailed in Table 2.

That Council Assembly notes:

3. The 2 February 2026 cabinet report at Appendix 1, which sets out the draft budget following the provisional settlement.

4. The council will set the council tax on 27 February 2026 via the Council Tax Setting Committee, following confirmation of the final GLA precept on 26 February 2026 (agenda item 2.2).

5. An increase in Southwark's local Council Tax for 2026-27 of 4.99% (agenda item 2.2).

6. Paragraphs 17-33 confirming the Strategic Director of Resources 'Section 25' statement as published in the 2 February 2026 Cabinet Report.

BACKGROUND INFORMATION

Revenue Budget

7. Cabinet considered the Policy and Resources strategy report on the 2 February 2026 (Appendix 1). The report set out the balanced budget position for 2026-27 and the draft Medium Term Financial Strategy (MTFS), noting that final adjustments would follow the publication of the

Final Local Government Finance Settlement.

KEY ISSUES FOR CONSIDERATION

Final Local Government Finance Settlement 2026-27 (FLGFS)

8. The Final Local Government Finance Settlement (9 February 2026) was published after the 2 February Cabinet meeting. Any resulting changes are therefore presented within this report.

9. The February Cabinet report (paragraph 57) explained that if the Recovery Grant were not capped at £35m, the Council might have received up to £45m of additional grant funding across three years. However, the final settlement did not provide this level of flexibility. The settlement instead provided an additional £2.6m (excluding Public Health), mitigating the loss of grant by 2028-29 from a provisional £20.4m to £17.8m.

Temporary Accommodation (TA) Pressures

10. For 2025–26, the projected overspend in Temporary Accommodation (TA)—before the application of reserves—is currently estimated at £17m. The Recovery Grant is specifically intended to support councils facing severe financial pressure arising from longstanding funding constraints. Consultation responses to the provisional settlement emphasised the need for additional support to manage acute pressures contributing to the national uplift.

11. TA continues to represent one of the most volatile and high-risk budgets in local government. Applying the £2.6m funding improvement to TA would therefore provide targeted support to manage immediate pressures and reduce the longer-term call on reserves and help alleviate future structural pressures within the Medium-Term Financial Strategy (MTFS).

Homelessness, Rough Sleeping and Domestic Abuse Grant

12. The final settlement has allocated additional funding through the Homelessness, Rough Sleeping and Domestic Abuse Grant. Nationally, the settlement includes an uplift of £272m, targeted at areas facing the greatest pressures. For Southwark, this results in an overall increase of £0.2m over the three-year period, with the grant front-loaded in 2026–27, providing an additional £0.6m in that year (these figures are included in the overall £2.6m figure quoted earlier in this report). This early funding supports targeted housing interventions, helping to stabilise demand pressures and improve outcomes for vulnerable households.

Public Health Grant

13. The public health grant allocations have been updated for this year 2025-26 to include the additional in-year cost impact of the NHS pay awards for health services commissioned by local authorities and funded through the public health grant. For Southwark, the grant increase is £0.2m, which is

ring fenced for public health and reflected in the MTFS.

Table 1 Changes from the Provisional Settlement

	Increase	Notes
Recovery Grant Uplift	£2.4m	Used to support Temporary accommodation demands and cost pressures
Homelessness, Rough Sleeping and Domestic Abuse Grant	£0.2m	Ringfenced to support housing needs
Public Health Grant (2025-26)	£0.2m	Final allocation for 2025-26

Revenue Budget 2026-27

14. The Medium Term Financial Strategy (MTFS) has been updated to reflect the changes in Table 1. The budget for 2026-27 remains balanced and the cumulative MTFS gap remains at £80.94m. Table 2 shows the high level summary of the updated budget, following the final local government finance settlement announcement. The report and relevant appendices to the 2 February 2026 cabinet are attached to this report as Appendix 1.

Table 2 Updated MTFS

Medium Term Financial Strategy (MTFS)	2025-26	2026-27	2027-28	2028-29	2029-30
	£m	£m	£m	£m	£m
Total Business rates	136.98	121.19	123.97	126.47	126.47
Business Rates deficit	-10.03	-7.00			
Business rates risk reserve	6.25	4.47			
Business rate growth	0.00	0.00	1.24	2.50	3.77
Total Government Grants (RSG)	133.47	151.29	157.67	141.92	141.92
Local authority Better Care Fund	22.02	22.02			
Fair Funding Allocation	**288.69**	**291.98**	**282.88**	**270.90**	**272.17**
Council Tax Requirement	**155.90**	**162.38**	**172.18**	**182.58**	**193.61**
Council Tax deficit	**-7.01**	**-7.48**			
Council tax risk reserve	**7.01**				
Homelessness, Rough Sleeping and Domestic abuse		9.10	9.17	9.21	9.21
Families First Partnership	2.13	5.28	5.28	4.51	4.51
Transitional Protection	0.00	0.00	0.29	1.81	1.81
Grants rolled into RSG		0.00	0.00	0.00	0.00
Recovery Grant	2.38	2.38	2.38	2.38	2.38
Recovery Grant Uplift		1.35	1.76	2.41	2.41
Recovery Grant Guarantee	0.00	11.67	11.67	11.67	11.67
Total other Grants	**4.51**	**29.77**	**30.54**	**31.99**	**31.99**
MTFS Core Spending Power (CSP) Total	**449.10**	**476.64**	**485.61**	**485.47**	**497.76**
Illustrative data for comparison					
Existing Grants rolled into CSP	20.71				
Difference in BR collection assumptions	4.25	2.53	-1.24	-2.50	
Difference in council tax assumptions	0.00	11.32	5.04	6.37	0.00
Reconciled MTFS Core Spending Power	474.06	490.49	489.41	489.34	497.76
Government Core Spending Power totals	474.06	490.49	489.41	489.34	497.76
Actual % increase in grants in CSP		3.5%	1.9%	0.0%	2.5%
Grants outside CSP					
Homelessness Prevention Grant Outside CSP	3.15	0.00	0.00	0.00	0.00
Extended Producer Responsibility	6.22	7.09	7.09	7.09	7.09
Public Health	33.58	37.84	38.34	38.86	38.86
Total Other Grants outside CSP	**42.95**	**44.93**	**45.43**	**45.95**	**45.95**
Total Funding before contributions from balances	**492.05**	**521.57**	**531.04**	**531.42**	**543.71**
Contribution to earmarked reserve for EPR	-6.51	0.00	0.00	0.00	0.00
Contribution from Fair Funding Reform reserve	0.00	0.00	2.50	2.50	2.50
Contribution from earmarked reserves	2.50	5.00	0.00	0.00	0.00
TOTAL RESOURCES	**488.04**	**526.57**	**533.54**	**533.92**	**546.21**
PRIOR YEAR BUDGET	**456.02**	**488.04**	**526.57**	**533.54**	**533.92**
Pay and inflation	34.04	28.50	32.50	32.50	32.50
Commitments for rolled in grants	6.44	16.03	0.00	0.00	0.00
Other Commitments & Contingency:	10.59	10.93	2.63	0.45	0.00
Budget Before Savings & Efficiencies	**507.08**	**543.51**	**561.70**	**566.49**	**566.42**
Budget Gap before Savings & Efficiencies	**19.03**	**16.94**	**28.16**	**32.57**	**20.21**
Efficiencies	-9.21	-6.28	0.00	0.00	0.00
Income, Fees and Charges	-5.69	-3.57	0.00	0.00	0.00
Other Savings	-1.14	-0.09	0.00	0.00	0.00
TOTAL SAVINGS	**-16.04**	**-9.94**	**0.00**	**0.00**	**0.00**
TOTAL BUDGET	**491.04**	**533.57**	**561.70**	**566.49**	**566.42**
Shortfall before Transformation	**3.00**	**7.00**	**28.16**	**32.57**	**20.21**
Transformation savings	**-3.00**	**-7.00**	**0.00**	**0.00**	**0.00**
Gap post transformation	**0.00**	**0.00**	**28.16**	**32.57**	**20.21**
Cumulative Gap			**28.16**	**60.73**	**80.94**

Dedicated Schools Grant (DSG)

15. The Cabinet report (paras. 62–63) set out the position on the Dedicated Schools Grant (DSG), summarising the expansion of early years entitlements from 2026–27, the continuing pressures within the High Needs Block, and the Council's progress in delivering the milestones required under the Safety Valve agreement to manage the historic DSG deficit. The Cabinet report confirmed that the Council remained on track within the programme, with further instalments due subject to continued delivery.

16. However, the Final Local Government Finance Settlement has since introduced a significant change to national DSG deficit management arrangements.

17. The Final Settlement announced the closure of the Safety Valve Programme and confirmed that support for historic Dedicated Schools Grant deficits will instead be delivered through a new High Needs Stability Grant. This grant will be paid in Autumn 2026, subject to Southwark submitting a local SEND reform plan and securing approval from the Department for Education. The DfE has also confirmed that councils previously in the Safety Valve Programme will receive at least the same level of financial support under the new High Needs Stability Grant as they would have received through Safety Valve.

Consultation

18. Responses to the recommendations from the Overview and Scrutiny committee on 19 and 20 January 2026 were presented at the cabinet meeting by the Chair of OSC (Appendix 1, appendix E).

Section 151 officer comment on the budget (S.25 statement)

19. This section contains the Section 151 Officer's comments on the robustness of the estimates included in the budget and the adequacy of the proposed financial reserves, as required under Section 25(1) of the Local Government Act 2003. Section 151 responsibilities are assigned to the Council's Strategic Director for Resources.

20. The 2026–27 budget-setting process has involved a series of key steps:

- Starting with the approved 2025–26 budget and validating the savings already provisionally agreed for 2026-27 as part of the 3 year budget
- Restating the council's MTFS to reflect and support the introduction of the new Fair Funding arrangements.
- Publishing draft MTFS proposals and the council's overall approach at Cabinet in July and December 2025.
- Updating funding assumptions following the provisional local government finance settlement and the local government policy statement.

- Assessing the short-term financial challenges arising from demand and inflationary pressures—both across the wider local government sector and from in-year monitoring during 2025–26.
- Assessing the likely budget gap through to 2029–30 to enable early planning and ensure the long-term sustainability of the council's finances.
- Reviewing the adequacy of the council's reserves.

21. Funding for local government has changed fundamentally, as a result of the Fair Funding Review. The Medium Term Financial Strategy (MTFS) has been restated to align directly with the government's new funding arrangements. This will ensure that the council's financial planning reflects the revised distribution of resources.

22. The MTFS includes provisions for inflationary pressures to ensure that expected in-year cost increases can be managed within the budget. The cost of temporary accommodation continues to be the council's most material General Fund risk. This challenge is not unique to Southwark, with London and other urban areas experiencing similar pressures. Other areas of overspend present lower levels of risk, and the Strategic Director of Resources is satisfied that plans are in place to reduce spend over time and the appropriate governance is in place to monitor delivery of such activities. However, continuing financial pressures are expected in 2026-27 and beyond which the council will need consider as part of its financial planning.

23. The 2026–27 general fund budget savings have been subject to rigorous scrutiny to ensure that the savings proposals agreed last year remain deliverable. A series of member-led scrutiny sessions focused on areas of financial risk, and the Overview and Scrutiny Committee reviewed all budget areas, providing an important check and balance in the decision-making process. The Annual Governance Statement[1], agreed by the Audit, Governance and Standards Committee, sets out how the council has complied with governance processes, accounting codes and standards in preparing the budget, and highlights key medium-term risks. The council has clear visibility of the financial risks it faces and has established plans to manage them. The introduction of Fair Funding was identified as a risk in previous years, and the council has mitigated this by setting aside specific earmarked reserves to smooth the transition to reduced government funding.

24. Significant work has also been undertaken to transform services across the council, moving beyond departmental savings to a more strategic, organisation-wide approach. The aim is to deliver high-quality, value-for-money services for residents and service users over the longer term. The council's transformation programme is described in paragraphs 72-75. Regular reporting to council leadership teams is in place, and a mid-year review of financial delivery will be undertaken to ensure that

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progress remains on track in this evolving area. This work will support the organisation to redesign service provision, align resources with council priorities and deliver efficiencies that can meet the new funding challenges ahead. It will also help strengthen the council's long-term financial resilience by modernising systems, improving productivity, and ensuring that services are structured in a way that is sustainable, flexible and capable of adapting to future demand pressures.

25. The general fund budget process outlined in the above paragraphs has provided assurance of the robustness of the estimates in the 2026-27.

26. The Housing Revenue Account (HRA) budget also remains under significant pressure. A detailed assessment of the HRA position is included within this report, and there is a clear programme of mitigating actions designed to restore long term financial sustainability. The impact of these measures will be closely monitored throughout 2026-27. Successful delivery of the HRA budget will require a whole council approach to managing demand pressures. The HRA continues to be in a high risk position, and while this is not unique to Southwark, the sector as a whole will need to work collectively to prevent this becoming a normalised financial environment. The HRA recovery plan sets out the actions required, and these will need to be delivered promptly and effectively to meet the financial challenges outlined in this report. Considerable scrutiny is applied internally to the financial performance of the HRA, and this will continue into 2026-27 as the council manages its delivery of the HRA financial recovery activity. This includes activity to replenish HRA financial reserves as outlined in paragraph 120 below.

Use of reserves and balances

27. It is a statutory requirement under Sections 32 and 43 of the Local Government Finance Act 1992 for councils to have regard to the level of reserves needed for meeting estimated future expenditure. It is the responsibility of the Section 151 officer to exercise judgement about the adequacy of reserves, and they are required to provide the necessary assurances as part of the budget report.

28. Reserves can be classed as either general balances or earmarked reserves and represent funds that are not part of the normal recurring budget of the council but are distinct 'pots' of finite funds. General reserves are held as a safeguard against unforeseen events and to ensure the council has sufficient funds to meet cash flow requirements. Earmarked reserves are held for specific purposes to meet operational commitments, risks or for strategic investment.

29. Reserves should only be used for unforeseen emergencies; mitigation of known risks; pump priming for investment; smoothing of spending fluctuations; or short-term transitional support. Reserves should not be used to support ongoing expenditure commitments or as a substitute for delivering an annually balanced budget. For a number of years, the

council had planned for the use of reserves to help smooth the impact of government funding reductions and other budget pressures. Not only does this help to protect council services but it allows time to transition towards new ways of working, productivity improvements and efficiencies.

30. Without adequate reserves, the council would be required to make immediate in-year savings to address any shortfall, which would risk significant disruption to service delivery. The council will continue to monitor the medium-term financial position closely, assessing both future income and expenditure to ensure long-term sustainability. The Strategic Director of Resources considers the current level of earmarked reserves to be adequate to support the council through the short to medium term.

31. In 2025-26, the council utilised £2.5m of reserves to achieve a balanced budget. For 2026-27, proposals include a £5m contribution from general reserves, alongside £4.5m to support the collection fund. Over the following three years, the council plans to draw down £7.5m to offset funding variations anticipated from the Fair Funding Review. These contributions provide a financial buffer against service demand fluctuations and cost pressures, reinforcing prudent financial management and the council is able financially manage this approach.

32. The key financial risk to the council is increasing reliance on reserves to offset budget overspends or to compensate for non-delivery of agreed departmental and transformation savings. Although the council currently meets the minimum requirement for holding unallocated reserves, this position is becoming more challenging as overall expenditure continues to rise. Using reserves to cover overspends is unsustainable, as reserve levels will continue to decline year-on-year if used in this way.

33. To support long-term financial resilience, the council has modelled projected reserve levels through to 2029–30 under a range of scenarios. Projected budget overspends are reported to Cabinet through the regular budget monitoring process, and monthly spending reports are subject to detailed scrutiny by the corporate management team. This approach underpins ongoing engagement with chief officers on the critical importance of maintaining robust budget management and ensuring that expenditure remains within agreed budgets. Currently, the council has adequate General Fund reserves to provide adequate financial resilience. However, a financial plan to reduce overspends related to Temporary Accommodation will need to be successfully delivered in the medium term to ensure ongoing general fund reserve sustainability.

34. In order to manage the accumulated historical DSG deficit, the council entered into a Safety Valve agreement with the Department for Education (DfE) in 2022–23. The council has an accumulated DSG deficit of £5.8m as at 31 March 2025, and it is expected to meet all future milestones and receive the full support available under the Safety Valve agreement to continue reducing the deficit. The Final Local Government Finance Settlement has since confirmed that the national Safety Valve Programme

will be closed, with future support for DSG deficits delivered instead through the new High Needs Stability Grant. Under this new arrangement, funding will be provided from Autumn 2026, subject to the council submitting and securing DfE approval of a local SEND reform plan, and the DfE has confirmed that authorities previously in the Safety Valve Programme will receive at least the same level of financial support under the new scheme

35. Whilst General Fund reserves are considered adequate, the HRA reserves are low both in cash terms and as a percentage of rents. Current HRA reserve levels fall below what best practice dictates they should be and consequently reserve replenishment forms a key part of the HRA budget plans moving forward. Those HRA plans, referenced elsewhere in this report, set out a path to financial sustainability, including boosting reserves from £21m to around £50m by 2031-32. This is based on the key assumption of the council achieving the targets set out in the HRA recovery plan.

Community, equalities (including socio-economic) and health impacts

36. The community impact statement is set out in the cabinet report of 2 February 2026. As with the budget for 2026-27 and for previous years, each department undertook equality analysis on its budget proposals ahead of the final decisions being taken.

37. Undertaking equality analysis helps the council to understand the potential effects that the budget proposals may have on different groups. The Budget Equality Analysis Report 2026-27 (Appendix 1, appendix D) sets out the importance of the Equality Impact and Needs Analysis (EINA) being an on-going process, to be built upon as proposals are developed, consulted upon and implemented. It is an integral part of the implementation of the Council's EDI policy commitments as outlined in the Southwark Equality Framework (Cabinet, July 2021).

38. For many services, the budget proposals will include efficiencies that have staffing implications. As specific proposals are brought forward, and at each stage of implementation thereafter, the different impacts on different categories of staff will be assessed in accordance with the council's reorganisation, redeployment and redundancy procedures.

39. Equality analysis will continue through the cycle of planning and implementation of these budget proposals. In line with our Public Sector Equality Duty, any changes to services arising from these proposals will be implemented in such a way to not impact disproportionately on any specific section or group in our community. Where necessary, further consultation will be undertaken alongside mitigating actions. In line with the process across the council, information on the equality analysis has been shared with the relevant cabinet members so it can be considered when decisions are taken.

40. Appendix 1, (appendix D) identifies those budget savings that have a potential negative impact and where mitigating actions have been identified. The Equality and Human Rights Panel (EHRP) provided initial feedback on the draft budget equality analysis report and related EINAs (Equality Impact and Needs Analysis). The role of EHRP is as a critical scrutiny friend on the Council's Equality, Diversity and Inclusion work. EHRP are an important part of the Council's external Equality Governance.

Climate change implications

41. There are no direct climate change implications arising directly from this report, which provides an update on the budget setting process for 2025-26. Further details of the financial implications of the council's climate change strategy can be found in the Climate Report Appendix 1, (Appendix C).

SUPPLEMENTARY ADVICE FROM OTHER OFFICERS

Assistant Chief Executive, Governance and Assurance (NBC/20260211)

42. In respect of all recommendations, council assembly is reminded of the requirement to consider the public sector equality duty as set out in Section 149 of the Equality Act 2010 before reaching a decision.

43. When undertaking their duties under section 149 the council must ensure:
    - The duty must be fulfilled before the decision in question is enacted;
    - The duty must be exercised in substance with 'rigour and an open mind'; it is not a matter of 'ticking boxes'; and
    - The duty is continuing; it does not end with the completion of the EIA and due regard must be had as policy evolves and is implemented.

Legislative Framework

44. Section 31A of the Local Government and Finance Act 1992 ("the 1992 Act") provides that the Council has an obligation to calculate and agree an annual budget and council tax requirement.

45. The Local Government Act 2003 (Section 25) requires that the chief financial officer reports the following matters to members when agreeing its annual budget and precept:

    - the robustness of the estimates made for the purposes of the budget calculations, and

    - the adequacy of the proposed financial reserves.

46. An authority to which a report under this section (given here in paragraph 16) is made shall have regard to the report when making decisions about the calculations in connection with which it is made. The provision of this information is a legal requirement and ensures that all members have

regard to the professional advice provided by the authority's chief financial officer when final budget decisions are made being made.

Restrictions on Voting Under Section 106 of the Local Government Finance Act 1992

47. Section 106 of the 1992 Act applies at any time to a member of an authority, if at that time the member is due to pay council tax payments which have remained unpaid for at least two months.

48. The payments to which the section applies are any type of either sole or joint and several liability for council tax, and any failure to pay any agreed sum of council tax. Therefore, members are advised that this section is likely to apply to them if they are currently two months in arrears of any amounts of council tax, even if they have made any special contractual arrangement with the council to pay off the arrears.

49. If this section applies to any member present at a relevant meeting they must as soon as practicable after its commencement, disclose the fact that the section applies and not vote on any question with respect to this matter.

50. The relevant meetings are those at which any of the following are the subject of consideration, namely:

    (a) Any calculation required by chapter III, IV, IVZA or IVA of Part 1 of the 1992 Act

        The only relevant calculations in this context are those under Chapter III of Part 1 of the 1992 Act, (Chapter IV relates to precepting, Chapter IVZA to referendums and Chapter IVA to limitations on council tax (i.e. capping)).

        The Chapter III calculations include the calculation of the council tax requirement, the additional requirements because of any special items, the calculation of the tax for the different valuation bands and the basic amount of council tax to be set under Section 31B.

    (b) Any recommendation, resolution or other decision which might affect the making of any such calculation

        This is an extremely wide wording and would extend well beyond merely setting the budget. It applies to virtually any matter where the financial implications directly or indirectly might affect the calculations concerning the council tax. It would therefore apply to decisions concerning the level or extent of services as well as the expenditure, receipt or forgoing of any money.

    (c) The exercise of any function under Schedules 2-4 of the Local Government Finance Act 1988 ("the 1988 Act") and the 1992 Act

The functions under either the 1988 or 1992 Acts concern the administration and the enforcement of community charge and council tax respectively.

51. Section 106 of the 1992 Act makes it a criminal offence for a member to vote when prohibited from doing so or to fail to make the necessary disclosure. There is a statutory defence, with the onus of proof on the member, to prove that he did not know that the section applied to him or her at the time of the meeting or that the matter in question was the subject of consideration at the meeting. Prosecutions shall not be instituted except by or on behalf of the Director of Public Prosecutions.

BACKGROUND INFORMATION

Background Papers	Held At	Contact
None		

APPENDICES

No.	Title
Appendix 1	Cabinet Report 4 February 2025 Policy and Resources 2025-26 Budget and MTFS update (and including Appendices A to E)

AUDIT TRAIL

Cabinet member	Councillor Stephanie Cryan Cabinet Member for Equalities, Communities, & Finance	
Lead officer	Clive Palfreyman – Strategic Director of Resources	
Report author	Timothy Jones – Director of Finance	
Version	Final	
Dated	13 February 2026	
Key Decision?	Yes	
CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER		
Officer Title	**Comments Sought**	**Comments included**
Assistant Chief Executive (Governance and Assurance)	Yes	Yes
Strategic Director of Resources	Yes	Yes
Cabinet Member	Yes	Yes
Date final report sent to constitutional team		13 February 2026